

Micron Technology, Inc. MU

STANDARD (2-STAGE FCFE)

RATING	FAIR VALUE	PRICE	UPSIDE
OVERWEIGHT	\$2,389.31	\$948.80	+152%

Discount rate 9.18% · data: yfinance

INVESTMENT THESIS

We initiate our independent valuation of **Micron Technology, Inc. (MU)** with a **OVERWEIGHT** stance and a fair value of **\$2,389.31**, +152% against the current \$948.80. Fair value is derived using the **2-Stage Free Cash Flow to Equity**, selected for this company's sector — anchored to forward analyst estimates and discounted at a 9.2% cost of equity. Cash flows are sourced from analyst levered-FCF consensus (10y) then fade to 2.5%.

Micron Technology, Inc. generated \$37.38bn of revenue at a 26% EBIT margin in the latest fiscal year, having compounded the top line at 6.7% over the historical window. Market capitalisation stands at \$1.07trn with \$4.97bn of net debt.

Consistent with a long-duration cash-flow profile, 54% of the intrinsic value sits in the terminal value — the present value of cash flows beyond the explicit 10-year forecast. This is normal for a growth or infrastructure asset and underlines that the valuation rests on analyst growth expectations being realised.

By way of contrast, the 12-month analyst price target of \$1,486.00 (+57%) sits below our intrinsic fair value. These measure different things: our fair value is what the business is worth on its projected cash flows, while the price target is where analysts expect the shares to trade near-term. A persistent gap is normal and reflects how much of the intrinsic value the market is currently willing to pay for.

Fair value from a 2-stage Free Cash Flow to Equity model: analyst levered-FCF estimates over 10 years plus a Gordon terminal, discounted at the cost of equity.

KEY DATA	
Market cap	\$1.07trn
Enterprise value	\$1.08trn
Net debt	\$4.97bn
Net debt / EBITDA	0.3x
EV / EBITDA (LTM)	58.2x
P/E (LTM)	125.0x
FCF yield (LTM)	0.0%
Dividend yield	0.1%
Beta	2.14
Diluted shares	1,129mn

FINANCIAL SUMMARY & VALUATION

\$, PER SHARE WHERE NOTED	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E
Revenue	\$25.11bn	\$37.38bn	\$39.89bn	\$42.15bn	\$44.09bn	\$45.65bn
growth	+61.6%	+48.9%	+6.7%	+5.7%	+4.6%	+3.6%
EBITDA	\$9.58bn	\$18.48bn	\$23.07bn	\$23.57bn	\$23.81bn	\$23.78bn
EBIT margin	5.2%	26.2%	26.2%	24.3%	22.4%	20.5%
EPS	\$0.70	\$7.59	\$7.16	\$7.00	\$6.73	\$6.36

FCFF/share	(\$0.83)	\$0.44	\$3.94	\$3.62	\$3.21	\$2.73
EV/EBITDA	112.4x	58.2x	46.7x	45.7x	45.2x	45.3x
P/E	1363.4x	125.0x	132.6x	135.5x	140.9x	149.2x
FCF yield	-0.1%	0.0%	0.4%	0.4%	0.3%	0.3%

Multiples struck at the current price/EV against each year's estimates. Forecast EPS approximates net income as (EBIT – LTM interest) × (1–t).

VALUATION SUMMARY

EXHIBIT 1 • FAIR VALUE VS. PRICE



ESTIMATE	VALUE / SHARE	UPSIDE
2-Stage Free Cash Flow to Equity (fair value)	\$2,389.31	+152%
Analyst price target (12m consensus)	\$1,486.00	+57%

The headline fair value is the intrinsic valuation (Simply Wall St methodology, analyst-driven cash flows). The analyst price target is a 12-month price forecast shown for contrast — it answers a different question (where the market may trade the stock) and is not part of the intrinsic value.

FINANCIAL MODEL — HISTORICALS & ANALYST FORECAST

Reported actuals (A) followed by the analyst-estimate forecast (E). The **Levered FCF** column is the exact cash-flow stream discounted in the intrinsic valuation below — the P&L, the cash flow and the fair value are one reconciled chain.

FISCAL YEAR	REVENUE	GROWTH	EBIT	MARGIN	NET INCOME	EPS
2022A	\$30.76bn	—	\$9.71bn	31.6%	\$8.69bn	\$7.74
2023A	\$15.54bn	-49.5%	(\$5.41bn)	-34.8%	(\$5.83bn)	(\$5.34)
2024A	\$25.11bn	+61.6%	\$1.30bn	5.2%	\$778mn	\$0.70
2025A	\$37.38bn	+48.9%	\$9.81bn	26.2%	\$8.54bn	\$7.59
2026E	\$234.24bn A	+526.7%	\$61.47bn	26.2%	\$169.00bn	\$149.64 A
2027E	\$241.27bn	+3.0%	\$63.32bn	26.2%	\$55.12bn	\$48.80
2028E	\$248.51bn	+3.0%	\$65.22bn	26.2%	\$56.77bn	\$50.27
2029E	\$255.97bn	+3.0%	\$67.17bn	26.2%	\$58.48bn	\$51.78
2030E	\$263.64bn	+3.0%	\$69.19bn	26.2%	\$60.23bn	\$53.33
2031E	\$271.55bn	+3.0%	\$71.26bn	26.2%	\$62.04bn	\$54.93
2032E	\$279.70bn	+3.0%	\$73.40bn	26.2%	\$63.90bn	\$56.58
2033E	\$288.09bn	+3.0%	\$75.60bn	26.2%	\$65.81bn	\$58.27
2034E	\$296.73bn	+3.0%	\$77.87bn	26.2%	\$67.79bn	\$60.02
2035E	\$305.64bn	+3.0%	\$80.21bn	26.2%	\$69.82bn	\$61.82

Bridge to levered free cash flow (what the DCF discounts)

FISCAL YEAR	REVENUE	NET INCOME	LEVERED FCF	FCF MARGIN	SOURCE
2026E	\$234.24bn	\$169.00bn	\$169.00bn	72.1%	Analyst
2027E	\$241.27bn	\$55.12bn	\$174.92bn	72.5%	Analyst
2028E	\$248.51bn	\$56.77bn	\$181.04bn	72.8%	Analyst
2029E	\$255.97bn	\$58.48bn	\$187.37bn	73.2%	Analyst
2030E	\$263.64bn	\$60.23bn	\$193.93bn	73.6%	Analyst
2031E	\$271.55bn	\$62.04bn	\$200.72bn	73.9%	Analyst
2032E	\$279.70bn	\$63.90bn	\$207.74bn	74.3%	Analyst
2033E	\$288.09bn	\$65.81bn	\$215.02bn	74.6%	Analyst
2034E	\$296.73bn	\$67.79bn	\$222.54bn	75.0%	Analyst
2035E	\$305.64bn	\$69.82bn	\$230.33bn	75.4%	Analyst

“A” marks figures taken directly from analyst consensus; unmarked forecast figures are derived by holding the latest reported margin stable. The Levered FCF column ties exactly to the 10-year cash-flow forecast in the intrinsic valuation, so every number traces from revenue through to the \$2,389.31 fair value.

RATIO ANALYSIS — LEVERAGE, COVERAGE & RETURNS

METRIC	FY2022A	FY2023A	FY2024A	FY2025A
Net debt / EBITDA	-0.1x	1.7x	0.6x	0.3x
EBIT / interest	51.4x	-13.9x	2.3x	20.6x
ROE	17.4%	-13.2%	1.7%	15.8%
ROIC (NOPAT/IC)	16.3%	-9.0%	2.1%	13.4%
FCF conversion (FCFF/NOPAT)	21%	165%	-68%	-3%
Capex / D&A	1.70x	0.99x	1.08x	1.90x

INTRINSIC VALUATION — 2-STAGE FREE CASH FLOW TO EQUITY

Fair value is built from **forward analyst estimates**, not historical cash flow — the methodology used by Simply Wall St. The model is selected by sector: a 2-stage cash-flow model for most companies, Excess Returns for financials, AFFO for REITs, or a dividend model for consistent payers. Every figure below is traceable.

Fair value per share

\$2,389.31

+152% vs price \$948.80

Discount rate (cost of equity) 9.18% · terminal value 54% of total · source: analyst levered-FCF consensus (10y) then fade to 2.5%

10-year cash-flow forecast

YEAR	CASH FLOW (\$MN)	SOURCE	DISCOUNT FACTOR	PRESENT VALUE (\$MN)
2026	169,001	Analyst	0.916	154,786
2027	174,916	Analyst	0.839	146,728
2028	181,038	Analyst	0.768	139,090
2029	187,374	Analyst	0.704	131,850
2030	193,932	Analyst	0.644	124,986
2031	200,720	Analyst	0.590	118,480
2032	207,745	Analyst	0.541	112,312
2033	215,016	Analyst	0.495	106,466

2034	222,542	Analyst	0.454	100,923
2035	230,331	Analyst	0.415	95,670

Valuation build

PV of next 10 years' cash flows	\$1,231.29bn
Terminal value (Gordon)	\$3,532.32bn
PV of terminal value	\$1,467.18bn
Total equity value	\$2,698.47bn
Shares outstanding	1,129mn
Value per share	\$2,389.31
Discount to fair value	-151.8%

Discount rate — cost of equity

Risk-free rate (5y avg 10y govt bond)	3.60%
Equity risk premium (Damodaran)	4.60%
Industry unlevered beta (technology)	1.200
Debt / equity	1.4%
Levered beta = $\text{unlev} \cdot (1 + (1 - t) \cdot D/E)$	1.214
Levered beta (clamped 0.8–2.0)	1.214
Cost of equity = $R_f + \beta \cdot \text{ERP}$	9.18%

Cost of equity = risk-free rate + levered beta × equity risk premium. The risk-free rate is a 5-year average of the 10-year government bond (not the spot rate, to avoid volatile valuations). Beta is built bottom-up from the industry unlevered beta, re-levered to the company's capital structure and clamped to a practical 0.8–2.0 band (Damodaran).

Levered FCF to equity from analyst consensus, discounted at the cost of equity over 10 years plus a Gordon terminal. The forward estimates are the central input — history is used only where estimates are absent.

FACTOR SENSITIVITY MAP — WHAT MOVES THIS STOCK

Exposure levels are scored from the model and the historicals, with the mechanism spelled out.

TYPE	FACTOR	EXPOSURE	EVIDENCE	WHY / MECHANISM
Macro	Interest rates / discount rate	MEDIUM	75bps of WACC ≈ \$2.26/sh (7%); TV = 68% of EV	Long-duration cash flows: the further out the value sits (terminal-heavy), the more a shift in rates or the equity risk premium re-prices the stock, independent of operations.
Macro	Economic cycle / demand	HIGH	Revenue growth volatility σ = 49.6% over 3y	Historical top-line dispersion is the cleanest read on cyclicalty: a stable compounding base decouples from GDP; a volatile one imports the macro cycle into earnings.
Macro	Inflation / input costs	HIGH	–100bps EBIT margin ≈ –\$2.50/sh; margin σ = 26.1%	Cost pass-through is the test: firms with pricing power hold margin through inflation; historical margin volatility shows how much of past cost shocks reached the P&L.
Macro	Credit & refinancing	LOW	Net debt/EBITDA = 0.3x; EBIT/interest = 20.6x	Leverage converts operating shortfalls into equity stress: the higher the stack, the more a slowdown or a repricing of debt costs flows straight to the equity holder.
Micro	Competitive erosion	HIGH	ROIC–WACC spread = 31bps	Excess returns invite entry: the wider the spread, the bigger the prize for competitors — but also the bigger the buffer before growth stops creating value. A thin spread means small competitive slippage flips growth to value destruction.
Micro	Capital intensity	MEDIUM	Capex/D&A = 1.30x; capex =	Above 1x, the business must keep buying its own growth — FCF conversion stays hostage to the reinvestment cycle; below 1x, depreciation overstates

		41.1% of sales	true capital needs and cash conversion runs ahead of earnings.
Micro	Pricing power / margin stability	HIGH EBIT margin σ = 26.1% (range -35%–32%)	Stable margins across cycles are the fingerprint of pricing power; wide swings say the company is a price-taker whose profitability belongs to the environment, not the franchise.

CATALYSTS & WHAT EACH LEVER IS WORTH

- **Cost of capital:** every 75bps of WACC moves fair value by ≈\$2.26/share (7%). Rate path and the equity risk premium are the single biggest swing factor.
- **Terminal growth:** 50bps of perpetuity growth is worth ≈\$0.12/share — the market's read on the company's long-run competitive position.
- **Operating margin:** each 100bps of EBIT margin across the forecast is worth ≈\$2.50/share — watch pricing power, mix and cost discipline in quarterly prints.
- **Top-line delivery:** our base assumes 6.7% year-one growth fading to 2.5%; sustained beats/misses versus that glide path are the cleanest re-rating trigger either way.

KEY RISKS

- Single third-party data source: restatements, non-recurring items or classification differences can shift the output.

Methodology & disclaimer. Generated by an automated, sector-aware valuation engine from public data (yfinance). MU was classified as **Standard (2-Stage FCFE)** and valued with the Simply Wall St methodology: a sector-appropriate intrinsic model (2-stage cash flow to equity, excess returns for financials, AFFO for REITs, or a dividend model) anchored to forward analyst estimates and discounted at the cost of equity. Terminal value uses the Gordon growth method. Forward cash flows come from analyst consensus where available, extrapolated from reported figures otherwise — they are not a substitute for fundamental judgement. Nothing here is investment advice, a recommendation, or an offer to transact. Do your own due diligence.